



Office of Public Affairs
U.S. Department of Justice



California Man Sentenced to 12 Years' Imprisonment in Connection with \$17M Medicare Fraud Schemes

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For Immediate Release

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A California man was sentenced yesterday to 12 years in prison and three years of supervised release for his role in a years-long scheme to defraud Medicare of more than \$17 million through sham hospice companies and his home health care company.

According to court documents, Petros Fichidzhyan, 44, of Granada Hills, schemed with others to bill Medicare for hospice services that were not medically necessary and never provided. Fichidzhyan and his co-schemers controlled hospice entities and used foreign nationals' personal identifying information (PII) to conceal the scheme, using the PII to, among other things, open bank accounts, submit information to Medicare, and sign property leases. The defendant and his co-schemers also misappropriated the names and PII of several doctors, two of whom were deceased, to fraudulently bill Medicare for purported hospice services. Medicare paid the sham hospices nearly \$16 million, of which Fichidzhyan received nearly \$7 million, with more than \$5.3 million laundered through a dozen shell and third-party bank accounts. Fichidzhyan also obtained more than \$1 million in false claims paid to his home health care agency, which fraudulently used a doctor's name and identifying information as having certified Medicare beneficiaries for home health care. When the doctor confronted Fichidzhyan about the fraud, Fichidzhyan attempted to cover up the scheme by paying the doctor \$11,000.

Fichidzhyan pleaded guilty to health care fraud, aggravated identity theft, and money laundering in February 2025. At sentencing, he was also ordered to pay \$17,129,060 in restitution, and the court preliminarily ordered the forfeiture of a home bought with fraudulent proceeds. The government has seized \$2,920,383 from bank accounts associated with the fraud. The sentence imposed today is the most recent step in the Justice Department's ongoing effort to combat hospice fraud in the greater Los Angeles area.

"For years, the defendant, working with others, ran multiple sham hospice and home health care schemes, fraudulently billing Medicare over \$17 million," said Matthew R. Galeotti, Head of the Justice

Department's Criminal Division. "The defendant's egregious scheme relied on layers of deception and sophisticated money laundering, and wasted millions in taxpayer money. With the help of our law enforcement partners, the Department of Justice is fully committed to stopping these criminal networks and protecting the public fisc."

"Health care fraud is not a victimless crime. Defrauding the Medicare program not only wastes valuable taxpayer dollars, it causes significant harm to enrollees," said Acting Special Agent in Charge Omar Pérez Aybar at the U.S. Department of Health and Human Services, Office of Inspector General (HHS-OIG) Los Angeles Regional Office. "HHS-OIG, in collaboration with our law enforcement partners, will continue to investigate and hold accountable those who defraud federal health care programs."

"Mr. Fichidzhyan lined his pockets at the expense of the American taxpayer," said Akil Davis, the Assistant Director in charge of the FBI's Los Angeles Field Office. "The level of fraud and exploitation committed by the defendant is astounding and I'm proud of our investigators and prosecutors who were able to detect his schemes and hold him accountable."

The FBI and HHS-OIG are investigating the case.

Trial Attorneys Eric C. Schmale and Sarah E. Edwards of the Criminal Division's Fraud Section are prosecuting the case.

The Fraud Section leads the Criminal Division's efforts to combat health care fraud through the Health Care Fraud Strike Force Program. Since March 2007, this program, currently comprised of nine strike forces operating in 27 federal districts, has charged more than 5,800 defendants who collectively have billed federal health care programs and private insurers more than \$30 billion. In addition, the Centers for Medicare & Medicaid Services, working in conjunction with HHS-OIG, are taking steps to hold providers accountable for their involvement in health care fraud schemes. More information can be found at www.justice.gov/criminal-fraud/health-care-fraud-unit.

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